



ENCAP INVESTMENTS L.P.
EnCap Energy Capital Fund XII

Quarterly Review

As of June 30, 2023

Confidential



ENCAP INVESTMENTS L.P.

EnCap Energy Capital Fund XII

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Section I: Summary of Significant Events and Valuation

Activity for the three months ended June 30, 2023

Transactions		
<i>Type</i>	<i>#</i>	<i>\$ in millions</i>
Commitments	2	850.0
Investments	2	504.2
Distributions-Cash	0	0.0

Fund XII made new commitments to the following portfolio companies (\$ in millions):

Commitments:

Double Eagle IV	\$ 450.0
Grayson Mill III	400.0
	<u>\$ 850.0</u>

Fund XII made investments in portfolio companies as follows (\$ in millions):

Investments:

Double Eagle IV	\$ 283.8
Grayson Mill III	220.4
	<u>\$ 504.2</u>

Fund XII received no cash distributions from portfolio companies.

Fund Performance Summary (\$ in millions)

The table below presents investment performance since inception. A valuation by investment is incorporated in the subsequent table.

<i>Date of Initial Investment</i>	<i>Total Committed</i>	<i>Capital Invested</i>	<i>Realized Proceeds</i>	<i>Unrealized Value</i>	<i>Total Value</i>	<i>Gross IRR</i>	<i>Net IRR</i>
June-23	\$ 850.0	\$ 504.2	\$ 0	\$ 504.2	\$ 504.2	n/m	n/m



ENCAP INVESTMENTS L.P.

EnCap Energy Capital Fund XII
Summary of Significant Events and Valuation

Portfolio Status

Fund XII								
(As of June 30, 2023; \$ in millions)								
Company	Date of Initial Investment	Commitment	Total Capital Invested	Realized Proceeds	Unrealized Value	Total Realized Proceeds & Unrealized Value	ROI	Gross IRR
<i>Realized or Substantially Realized Investments</i>								
None		\$ -	\$ -	\$ -	\$ -	\$ -	-	-
		-	-	-	-	-	-	-
<i>Unrealized Investments</i>								
Double Eagle IV	Jun-23	450.0	283.8	-	283.8	283.8	1.0x	
Grayson Mill III	Jun-23	400.0	220.4	-	220.4	220.4	1.0	
		850.0	504.2	-	504.2	504.2	1.0x	
		\$ 850.0	\$ 504.2	\$ -	\$ 504.2	\$ 504.2	1.0x	NM

Comparison to prior quarter
(\$ in millions)

	Valuation		Q2 2023 Cash	Valuation Increase	% Change in Unrealized	Comments (> \$5MM and 5% change)
	3/31/2023	6/30/2023	Inv. (Distrib.)	(Decrease)	from 3/31/2023	
Double Eagle IV	\$ -	\$ 283.8	\$ 283.8	\$ -	n/a	
Grayson Mill III	-	220.4	220.4	-	n/a	
	\$ -	\$ 504.2	\$ 504.2	\$ -	n/a	

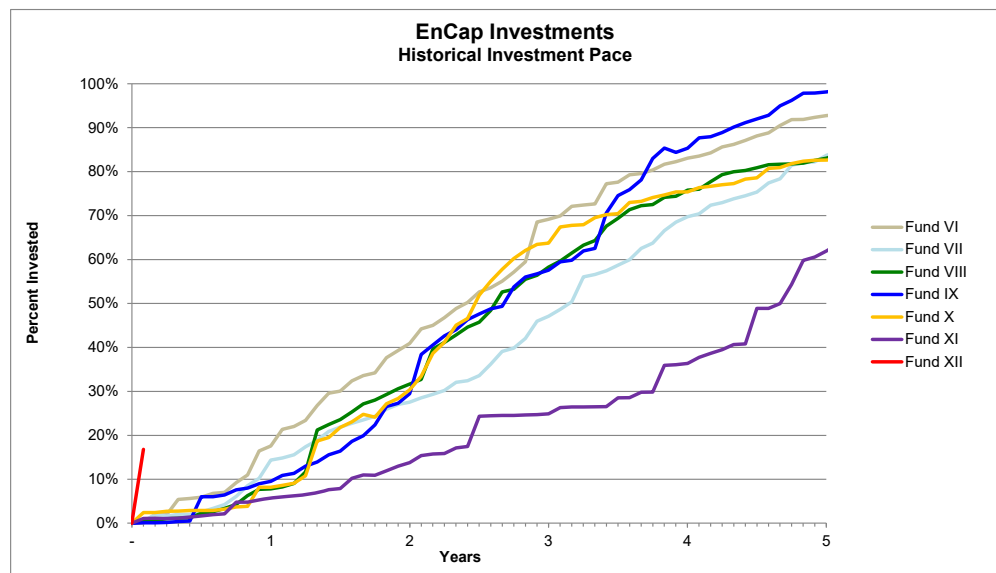
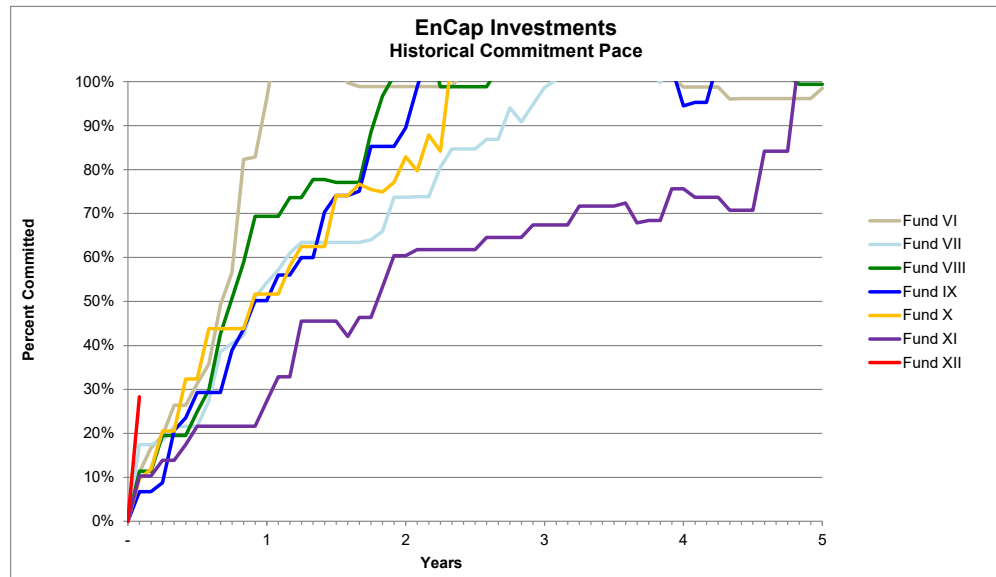
EnCap Energy Capital Fund XII

Summary of Significant Events and Valuation

Projected Contributions and Distributions as a Percentage of Commitment

	2023	2024	2025
Contributions	20%	20%	20%
Distributions	0%	0%	0%

Commitment and Investment Pace





Significant Events and Transactions

- Double Eagle IV** - Aggregated ~40,000 net acres in the Permian Basin and continued their 4-rig development program
- Grayson Mill III** - Closed on \$825 million Ovintiv Bakken Acquisition

Environmental, Social and Governance Highlights

During the due diligence phase of our investment process, EnCap ensures that the prospective management team members are fully aligned with EnCap's Environmental, Social and Governance ("ESG") building blocks prior to making the investment decision. Upon partnering with a new team, EnCap requires each portfolio company to have a likeminded ESG policy and supporting policies and procedures in place. In addition, EnCap requires each portfolio company to report on significant ESG issues and provide details of ongoing ESG developments during each quarterly Board meeting. This information is used by EnCap to quantitatively measure ESG activities and the impact on the performance of each portfolio company.

During Q2 2023, EnCap managed Fund XII in accordance with ESG policies. There were no material changes to the ESG risks and opportunities facing the portfolio, and there were no material ESG incidents to report during the quarter.

Additionally, refer to our EnCap Sustainability Report available on our FIS DX website.



Other Reporting Matters

In addition to this report (which contains all fund financial statements in Section IV), the following reports net to each Limited Partner are available on our Investran DX website:

1. Statement of Partner's Capital, including allocation of the following:
 - a. Management fees
 - b. Net operating income (loss)
 - c. Realized gains (losses)
 - d. Unrealized gains (losses)
 - e. Unrealized incentive allocation
 - f. Incentive payments to the GP
 - g. Contributions paid
 - h. Distributions received
 - i. Recallable distributions received
 - j. Tax withholdings, if applicable
 - k. Portfolio company summary cash flows
2. Status of Payout
3. ILPA Fee and Expense Reporting Template

Other reporting available on our Investran DX website includes:

1. Cash call and distribution notices
2. Quarterly management fee calculations
3. Supplemental fund and portfolio company information (available 45 days after quarter end; 105 days after year end)
 - a. Fund organization information
 - b. Portfolio company organization information
 - c. Portfolio company financial information
4. Supplemental Schedule of Investments
5. All tax reporting
6. Annual audited financial statements
7. Advisory Board presentations
8. Legal documents

Please contact Katherine Cangelosi at Kcangelosi@encapinvestments.com if log on assistance is needed.



Section II: Industry Overview

Crude Oil Overview

Crude oil spot prices (“WTI”) finished the quarter down ~9% QoQ and ~36% YoY. Oil prices remained constructive and hovered around ~\$75/Bbl during most of the quarter, largely in part due to OPEC+ continuing to defend higher prices with production cuts. OPEC+ pledged to cut 2 MMBbl/d last October, 1.66 MMBbl/d in April 2023 and recently extended these cuts until the end of 2024 due to uncertain economic outlook for H2 2023. In addition, Saudi Arabia and Russia, key OPEC+ members, have announced plans to limit their oil production in August, extending July's cuts, to balance and stabilize global oil markets. Saudi Arabia will continue its unilateral crude production cut of ~1 MMBbl/d, reducing its projected output for both July and August to just under 9 MMBbl/d. This comes in addition to the previously pledged cut of 0.5 MMBbl/d from May, part of a larger 1.16 MMBbl/d reduction by eight OPEC+ members, extended until 2024. Russia has also pledged a voluntary reduction, curbing its oil exports by 0.5 MMBbl/d in August. The market will continue to closely monitor upcoming fed cuts, China growth and OPEC+ production cuts adherence. Most analysts believe the projected oil market tightening they had been forecasting for H2 2023 is now currently underway. Subsequent to the quarter-end WTI prices have rebounded and ramped up ~\$10/Bbl.

Natural Gas Overview

Natural gas spot prices (“Henry Hub”) rebounded slightly during the quarter and finished up ~28% QoQ, but still materially down ~59% YoY. The natural gas strip deck continues to remain in contango with the back of the curve (36-48 months out) hovering at ~\$4/MMBtu. Most analysts continue to expect near-term pricing weakness due to high current production and limited demand drivers in 2023. LNG growth beginning in late 2024 should be a bullish driver going forward.

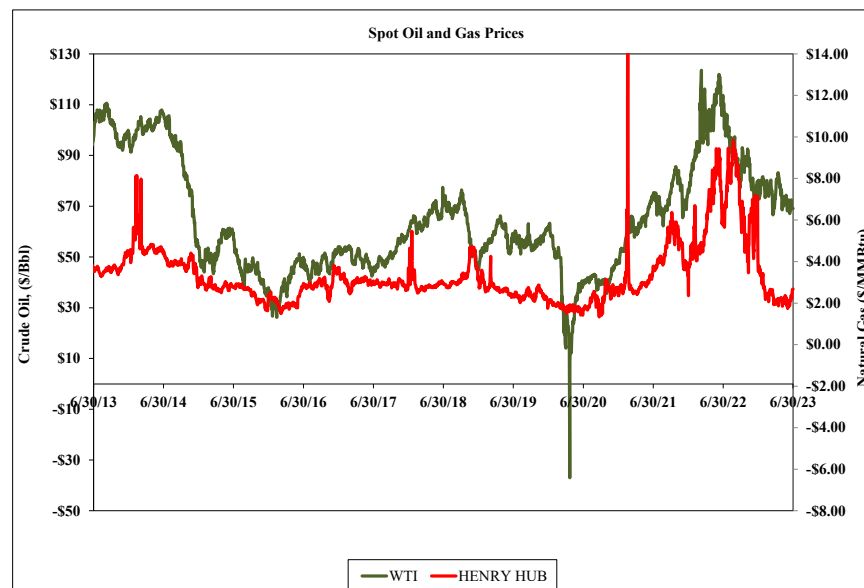


Figure 1: Oil & Gas Spot Prices

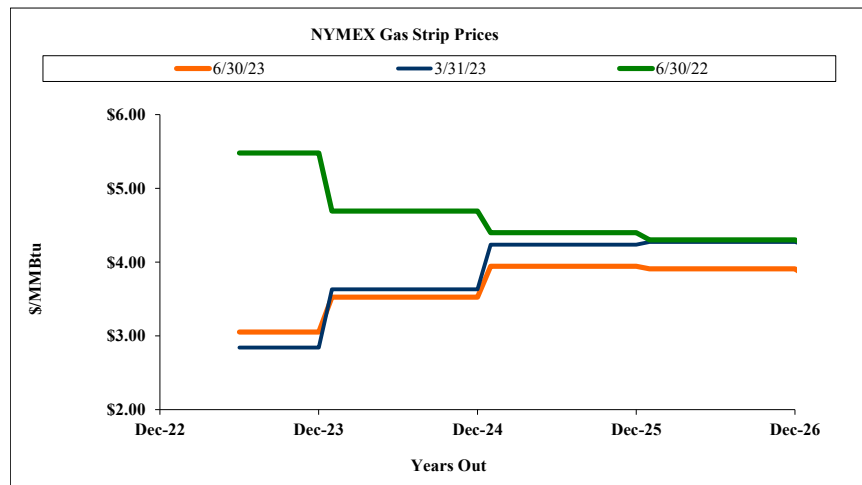


Figure 2: Natural Gas (Henry Hub) Strip Prices

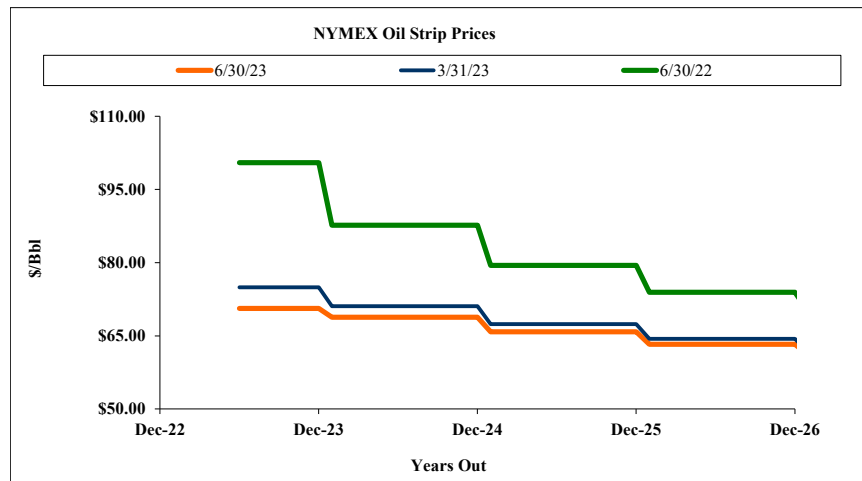


Figure 3: Crude Oil (WTI) Strip Prices

Drilling Activity

During Q2 2023, the total U.S. rig count (as measured by Baker Hughes) decreased 10.7% QoQ and 10.5% YoY. The U.S. total natural gas rig count finished the quarter at 124 rigs, down from 160 rigs running at the end of Q1 2023. Year-over-year, the U.S. total natural gas rig count finished down 21.0%. The U.S. total oil rig count decreased 7.9% during Q2 2023, moving from 592 rigs at the beginning of the quarter to 545 rigs at quarter-end. Year-over-year, the U.S. total oil rig count finished down 8.2% or ~49 rigs.

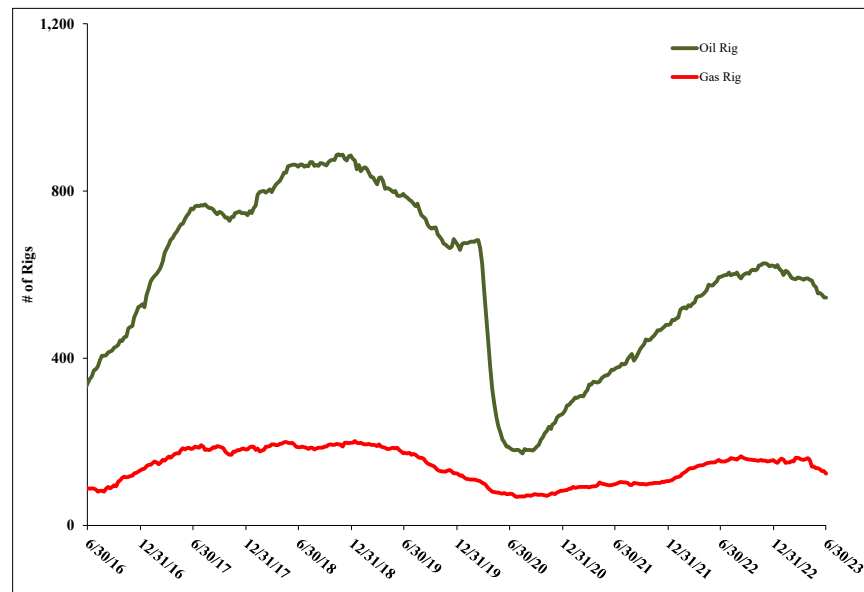


Figure 5: U.S. Total Onshore and Offshore Rig Count

M&A Activity

Upstream M&A activity boomed during the quarter with more than \$24 billion in total deal value from ~20 deals. The Permian Basin remained the focal point of M&A activity with ~\$12 billion in total deal value. Public buyers remained focused on buying private equity backed portfolio companies with core inventory. Valuations in core areas like the Midland and Delaware Basins continued to rise as core inventory continues to become scarce. Inventory averaged ~\$1.4 million per location in the Delaware Basin and ~\$2 million per location in the Midland Basin. The need for public companies to keep deals financially accretive, or at least neutral, likely provides an upper bound on valuations. Asset deals have traded at an average of around ~3x EBITDA in 2023. Notable transactions during the quarter included 1) Ovintiv's \$4.3 billion acquisition of Black Swan/Petrolegacy/Piedra 2) Civitas' \$2.3 billion acquisition of Hibernia 3) Civitas' \$2.5 billion acquisition of Tap Rock and 4) Earthstone's \$1.5 billion acquisition of Novo.

Report Sources: Enverus, Baker Hughes, Rapidan Energy Group and UBS Energy Infrastructure.



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EnCap Energy Capital Fund XII

Section III: Portfolio Companies

1. DOUBLE EAGLE IV
2. GRAYSON MILL III



Valuation Assumptions

Valuations have generally been determined as follows (subject to adjustment for particular circumstances and review by the Advisory Board):

- 1) Private equity securities and mineral interests held during the initial investment period are valued at cost (which is considered fair value) until such time as there is a measurable change in fair market value based upon the assumptions below.
- 2) Private equity exploration and production investments held after the initial investment period (generally longer than twelve months unless an expansion from an earlier fund) are valued at the risk adjusted PV10 of the future cash flow stream. The future cash flow stream is based on third party engineered projections applying the NYMEX forward strip pricing as of the valuation date.

The reserve categories were generally risked as follows:

- a. PDP – no discount applied
- b. PDNP – a 20% discount applied
- c. PUD – a 40% discount applied
- d. Probable – a 80% discount applied
- e. Possible – a 90% discount applied

The average NYMEX strip prices by year as of June 30, 2023 were as follows:

	<u>\$/BO</u>	<u>\$/MMBTU</u>
2023	70.62	3.05
2024	68.84	3.52
2025	65.83	3.94
2026	63.30	3.91
2027+	61.06	3.78

Unevaluated oil and gas leaseholds and other operating assets, such as gathering systems and processing plants, are valued at measurable inputs, such as original acquisition price and more recent public or private transactions in similar assets.

- 3) Non-producing and early stage mineral interests and ORRIs are valued at precedent transactions or discounted cash flows if underlying third-party reserve reports are available. Mature producing mineral interests and ORRIs are valued using a cash flow multiple of actual trailing 12 month cash flow. The cash multiple utilized is derived by taking into consideration market and asset specific factors including, but not limited to: location; life cycle or maturity of the asset; projected growth profile; precedent transactions; and comparable public market trading multiples.

Note: Valuation assumptions 1) through 3) as presented above apply to all investments currently held by Fund XII. The remaining assumptions constitute the standardized valuation methodology to potentially be applied in future periods and are provided for informational purposes only.

- 4) Non-restricted public securities are valued at the quoted price at the end of the quarter.
- 5) Subordinated and restricted public securities (assuming adequate float) are valued at 90% of the quoted price at the end of the quarter.



- 6) Debt securities are valued at the face amount of the note plus accrued interest (less any reserve for uncollectible amounts or credit risk discounts).
- 7) Redeemable preferred securities are valued at the face amount of the issue plus accrued dividends (less any reserve for uncollectible amounts).
- 8) Other private/public equity securities with limited trading volume are valued based on relevant factors including NAV, comparables, significant events, etc.



Double Eagle Energy Holdings IV, LLC

Company Description

Double Eagle Energy Holdings IV, LLC (“Double Eagle”) was formed in March 2022 and is based in Fort Worth, TX. Double Eagle is led by Cody Campbell (Co-CEO) and John Sellers (Co-CEO), as well as Blake Carpenter (CCO), Joshua Gregg (CFO), and Garrett Martin (COO). Mr. Campbell and Mr. Sellers founded the first iteration of Double Eagle in 2009 with a focus on acquiring and flipping leases in the early days of the shale land grab. From 2009 to 2012 Double Eagle was primarily focused on the Haynesville and Eagle Ford. Double Eagle was one of the first movers in the oil window of the Eagle Ford and sold tens of thousands of acres to Chesapeake, Enduring, and Hilcorp.

Management formed Double Eagle II in 2014 with a focus on the Midland Basin. Over the course of 24 months, Double Eagle leveraged deep industry and in-basin relationships as well as an unparalleled “land machine” to build a position of ~71,000 net acres in the core of the Midland Basin. Double Eagle II invested a total of ~\$520 million in the assets, and ultimately sold to Parsley in 2017 for ~\$2.8 billion, realizing a gross 3.3x ROI and 95% IRR.

Following the success of Double Eagle II, Management formed Double Eagle III to re-enter the Midland Basin in 2017. Shortly after formation, Double Eagle III merged with Four Point to form DoublePoint. The team ultimately invested a total of ~\$1.8 billion in acquisitions and development capital. Management executed on a sophisticated ground game, closing 78 acreage trades over 50,000 net acres, to create a blocky drill-ready position of ~98,000 net acres in the core of the Midland Basin. The team successfully operated 7 horizontal rigs with 3 frac crews, drilling 266 wells and growing production from 8 MBOED in Q1 of 2019 to 90 MBOED in April of 2021. DoublePoint ultimately sold to Pioneer in May of 2021 for ~\$6.4 billion, representing a gross 3.1x ROI and 43% IRR.

Double Eagle intends to leverage its industry relationships to create a core acreage position in the Midland and Delaware Basins through acquisitions and acreage swaps. Management will use its proven operating abilities to develop the assets and ultimately create a sizable cash flowing business that will be attractive to buyers in any market environment.

Transaction Summary

Double Eagle was initially capitalized with a \$1.1 billion common equity commitment, which includes \$1.0 billion from Fund XI and \$100 million from Management. For up to 90 days after closing, we allowed Management to raise commitments from Friends and Family of up to \$100 million, which would reduce Fund XI’s commitment on a dollar-for-dollar basis. Any additional commitments from Friends and Family would be added to the total commitment amount, with a maximum expansion of \$50 million.

In Q2 2022, Double Eagle closed on additional commitments from Friends and Family, raising the total commitment to be \$1.15 billion. This includes \$900 million from Fund XI, \$154 million from Friends and Family, and \$100 million from Management.

In Q1 2023, Double Eagle’s commitment was expanded by 50% in order to continue acreage acquisitions and execution at scale with the intention to transfer the commitment to Fund XII upon fundraising first close and Fund XI will receive a return of 8% for dollars previously funded. This matter was brought to the Fund XI advisory board in Q4 2022 who approved the expansion and subsequent commitment transfer.

In Q2 2023, Double Eagle’s \$450 million commitment expansion was transferred from Fund XI to Fund XII and Fund XI received a return of 8% from Fund XII for dollars previously funded. In Q3 2023, \$100 million of the Fund XII commitment was transferred to select co-investors.

Recent Events

As of June 30, 2023, Double Eagle has closed on ~40,000 net acres in the Permian Basin through numerous acquisitions and trades. During the quarter, they continued their 4-rig development program and added a

EnCap Energy Capital Fund XII

Portfolio Companies

5th rig after the quarter ended. The company is actively evaluating acquisition opportunities in the Permian Basin where the team has prior experience and/or a competitive advantage.

Valuation (\$000's)

The investment in Double Eagle IV is carried at cost (which approximates fair value).

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
June-23	\$283,807	\$0	\$283,807	\$283,807	1.00x	N/A



Grayson Mill Energy III, LLC

Company Description

Grayson Mill Energy III is a privately held, Houston-based independent oil and gas company focused on the development of oil and gas properties in the Williston basin. The Grayson Mill III management team is comprised of the same senior management team as Grayson Mill I and Grayson Mill II. The team is led by Eric Bayes (CEO), Blake Sullens (COO), Matt Ultis (CFO), and Dewey Gerdorn (VP-Business Development). Mr. Bayes was previously VP Operations with Oasis Petroleum (“Oasis”), where he managed the entirety of Oasis’ operations team in the Bakken, which included 16 rigs, six frac crews, and over 300 employees at its peak. While at Oasis, Mr. Bayes was being groomed to be a future leader of the company prior to deciding to pursue his own venture. Mr. Sullens was most recently Operations Manager at Alta Resources, where he played a critical role in the execution and success of the company’s Duvernay asset. He brings a unique combination of operational, engineering, and petrophysical expertise to the team. Mr. Ultis was previously CFO of Redman Management Company (GSO portfolio company) and also held various corporate planning, finance, and investor relations roles at Oasis. Mr. Gerdorn previously served as VP-Business Development at Bright Horizon Resources, where he focused on the Midcontinent and East Texas basins. Prior to Bright Horizon Resources, Mr. Gerdorn worked at PDC Energy for nineteen years, where he was part of the original team that formed PDC’s successful strategy to enter the Wattenberg and Piceance basins. Grayson Mill represents a strong, data-driven and operational team well situated to execute the company’s strategy in the Bakken.

Transaction Summary

Grayson Mill Energy III was formed in Q2 2023 in conjunction with the announced acquisition of Ovintiv’s Bakken assets for \$825 million. At signing, Fund X and Fund XI posted a ~\$41 million deposit to secure the deal. Subsequently, the company was capitalized with \$904 million of total equity commitments: (i) \$67 million Fund X, (ii) \$133 million Fund XI, (iii) \$400 million Fund XII, (iv) \$300 million co-investors, and (v) \$4 million management. Management’s initial \$4 million commitment will expand up to \$20 million as ongoing distributions are made from Grayson Mill II. Approximately \$245 million of the \$300 million in commitments from co-investors was closed in June 2023, and the balance closed in July 2023. The investment is structured in the form of common equity with investors receiving a proportionate share of the distributions until an 8% IRR and 1.00x ROI is achieved. Thereafter, distributions will be allocated on a graduated basis after certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

In Q2 2023, Grayson Mill III closed its acquisition of Ovintiv’s Bakken assets for \$825 million. Ovintiv’s Bakken assets include ~44k net acres producing ~34 MBoe/d net (80% liquids). The valuation was highly compelling with significant hard value coverage and purchased at a ~2.0x EBITDA multiple. The asset has significant upside in the form of ~200 gross / ~130 net risked development locations and refrac opportunities. EnCap believes the team is well-equipped to efficiently operate and develop its inventory, while also adding additional inventory through the company’s ongoing business development efforts.

Recent Events

Management is in the process of transitioning operations from Ovintiv and is actively evaluating new business development opportunities in the Williston Basin.

Valuation (\$000’s)

The investment in Grayson Mill III is carried at cost (which approximates fair value).

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
June-23	\$220,366	\$0	\$220,366	\$220,366	1.00x	N/A

Quarterly Review

As of June 30, 2023

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EnCap Energy Capital Fund XII

Section IV: Financial Statements

ENCAP ENERGY CAPITAL FUND XII, L.P.

FINANCIAL STATEMENTS

JUNE 30, 2023

ENCAP ENERGY CAPITAL FUND XII, L.P.

STATEMENT OF ASSETS, LIABILITIES AND PARTNERS' CAPITAL

	<u>June 30,</u> <u>2023</u>
ASSETS	
Investments, at fair value (cost \$504,173,064)	\$ 504,173,064
Cash and cash equivalents	18,567,182
Due from Limited Partners	<u>3,206,612</u>
Total assets	<u><u>\$ 525,946,858</u></u>
LIABILITIES AND PARTNERS' CAPITAL	
Due to affiliate	\$ 264,178
Total liabilities	<u>264,178</u>
Partners' capital:	
General Partner	—
Related Limited Partners	25,772,219
Limited Partners	<u>499,910,461</u>
Total partners' capital	<u>525,682,680</u>
Total liabilities and partners' capital	<u><u>\$ 525,946,858</u></u>

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND XII, L.P.

SCHEDULE OF INVESTMENTS

JUNE 30, 2023

	<u>% owned</u>	<u>Cost</u>	<u>Fair Value</u>	<u>% of net assets</u>
Private equity investment holdings:				
EnCap DE IV Co-Invest, LLC	77.8%	\$ 283,806,973	\$ 283,806,973	54.0%
EnCap GM III Co-Invest, LLC	57.1%	220,366,091	220,366,091	41.9%
Total investments		<u>\$ 504,173,064</u>	<u>\$ 504,173,064</u>	<u>95.9%</u>

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND XII, L.P.

STATEMENT OF OPERATIONS

PERIOD FROM INCEPTION (May 17, 2023) TO JUNE 30, 2023

Investment income:	
Interest	\$ 261,725
Total investment income	<u>261,725</u>
Expenses:	
Management fees	639,622
General and administrative	271,998
Organization costs	<u>264,178</u>
Total expenses	<u>1,175,798</u>
Net investment loss	<u>(914,073)</u>
Net decrease in partners' capital resulting from operations	<u>\$ (914,073)</u>

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND XII, L.P.

STATEMENT OF CHANGES IN PARTNERS' CAPITAL

	<u>General Partner</u>	<u>Related Limited Partners</u>	<u>Limited Partners</u>	<u>Total</u>
Partners' capital at May 17, 2023 (date of inception)	\$ —	\$ —	\$ —	\$ —
Capital contributions	—	25,785,674	500,811,079	526,596,753
Management Fees	—	—	(639,622)	(639,622)
Net decrease in partners' capital resulting from operations (excluding management fees)	—	(13,455)	(260,996)	(274,451)
Partners' capital at June 30, 2023	<u>\$ —</u>	<u>\$ 25,772,219</u>	<u>\$ 499,910,461</u>	<u>\$ 525,682,680</u>

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND XII, L.P.

STATEMENT OF CASH FLOWS

PERIOD FROM INCEPTION (May 17, 2023) TO JUNE 30, 2023

Cash flows from operating activities:	
Net decrease in partners' capital resulting from operations	\$ (914,073)
Adjustments to reconcile decrease in partners' capital resulting from operations to net cash used for operating activities:	
Purchase of investments	(504,173,064)
Change in operating assets and liabilities	
(Increase) decrease in due from Limited Partners	(3,206,612)
Increase (decrease) in due to affiliate	264,178
Net cash used for operating activities	<u>(508,029,571)</u>
Cash flows from financing activities:	
Contributions from partners	<u>526,596,753</u>
Net cash provided by financing activities	<u>526,596,753</u>
Net change in cash and cash equivalents	18,567,182
Cash and cash equivalents, beginning of period	<u>—</u>
Cash and cash equivalents, end of period	<u><u>\$ 18,567,182</u></u>

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND XII, L.P.

NOTES TO FINANCIAL STATEMENTS

NOTE 1 – ORGANIZATION:

EnCap Energy Capital Fund XII, L.P. (the “Partnership”), a Delaware limited partnership, was formed on February 27, 2023 to provide its partners with an opportunity to participate in privately negotiated equity and equity-related investments in the upstream and midstream independent oil and gas sector of North America. The Partnership operates pursuant to a partnership agreement (the “Partnership Agreement”) dated May 17, 2023, which should be referred to for a complete description of the provisions of the Partnership. EnCap Equity Fund XII GP, L.P. (“General Partner”), a Delaware limited partnership, is the sole general partner for the Partnership. The Partnership held its initial closing on May 17, 2023 and has not held its final close. There are 46 investors owning the limited partnership interests (“Limited Partners”) and 8 investors owning the related limited partnership interests (“Related Limited Partners” and collectively with the General Partner and Limited Partners, the “Partners”). The Related Limited Partners’ and Limited Partners’ total capital commitments to the Partnership are \$49.0 million and \$949.7 million, respectively. The Partners’ total outstanding commitments as of June 30, 2023 were approximately \$472 million. The ratio of total contributed capital to total committed capital is 52.7%. The Partnership has committed \$850.0 million to portfolio companies, of which \$345.8 million remains unfunded at June 30, 2023.

The Partnership shall be dissolved upon the expiration of a 10-year period commencing the date of final closing, unless the Limited Partner Advisory Committee and General Partner agree to extend the Partnership for up to two additional one-year periods in order to permit an orderly liquidation and winding up of the Partnership.

NOTE 2 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

Basis of Presentation

The accompanying financial statements have been prepared on the accrual basis in accordance with accounting principles generally accepted in the United States of America (“GAAP”). The Partnership is considered an investment company under GAAP and follows the accounting and reporting guidance applicable to investment companies in the Financial Accounting Standards Board Accounting Codification (“ASC”) 946, Financial Services – Investment Companies.

Use of Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires the General Partner to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the dates of the financial statements and the reported amounts of revenue and expenses during the reporting period. Actual results, including the ultimate amount realized upon the sale of illiquid and/or fair valued investments, can, and often do, differ from those estimates.

Investment valuation and transactions

The Financial Standards Accounting Board (“FASB”) guidance “Fair Value Measures,” establishes a fair value hierarchy that prioritizes the inputs to valuation techniques used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (level 1 measurement) and the lowest priority to unobservable inputs (level 3 measurements). The three levels of the fair value hierarchy under the guidance are as follows:

- Level 1 Inputs that reflect unadjusted quoted prices in active markets for identical assets or liabilities that the Partnership has the ability to access at the measurement date;
- Level 2 Inputs other than quoted prices that are observable for the asset or liability either directly or indirectly, including inputs in markets that are not considered to be active;

ENCAP ENERGY CAPITAL FUND XII, L.P.

NOTES TO FINANCIAL STATEMENTS

Level 3 Prices, inputs or modeling techniques which are both significant to the fair value measurement and unobservable (supported by little or no marked activity).

Inputs are used in applying the various valuation techniques and broadly refer to the assumptions that market participants use to make valuation decisions, including assumptions about risk. Inputs may include price information, volatility statistics, specific and broad credit data, liquidity statistics, and other factors. An investment's level within the fair value hierarchy is based on the lowest level of any input that is significant to the fair value measurement. However, the determination of what constitutes "observable" requires significant judgment by the General Partner. The General Partner considers observable data to be that market data which is readily available, regularly distributed or updated, reliable and verifiable, not proprietary, provided by multiple, independent sources that are actively involved in the relevant market. The categorization of an investment within the hierarchy is based upon the pricing transparency of the investment and does not necessarily correspond to the General Partner's perceived risk of that investment.

Partnership investments are valued quarterly by the General Partner. Investment cost and the net realized gains or losses thereon are determined, for financial accounting purposes, on the specific identification method. The Partnership's investments that have been classified within level 3 utilize significant unobservable inputs and trade infrequently or not at all. Level 3 investments may include common and preferred equity securities, corporate debt, warrants and other privately issued securities. When observable prices are not available for these securities, the General Partner uses one or more valuation techniques (e.g., the market approach or the income approach) for which sufficient and reliable data is available. Within level 3, the use of the market approach generally consists of using comparable market transactions, while the use of the income approach generally consists of the net present value of estimated future cash flows, adjusted as appropriate for liquidity, credit, market and/or other risk factors.

The inputs used by the General Partner in estimating the value of level 3 investments included third party engineering reserve reports, oil and gas NYMEX future prices as of the date the valuation is performed, estimated capital expenditures, estimated operating costs, and risk-adjusted discount factors based on whether the reserves are classified as proved developed producing, proved developed nonproducing or proved undeveloped. Other relevant information considered by the General Partner may include the following factors: original transaction price, recent public or private transactions in the same or similar assets, restrictions on transfer, including the Partnership's right, if any, to require registration by the issuer of the offering and sale of securities held by the Partnership under the securities laws; significant recent events affecting the issuer, including significant changes in financial condition and pending mergers and acquisitions; and all other reasonable and customary factors affecting value. The fair value measurement of level 3 investments does not include transaction costs that may have been capitalized as part of the security's cost basis. Assumptions used by the General Partner due to the lack of observable inputs may significantly impact the resulting fair value and therefore the Partnership's results of operations.

Investments may be classified as level 2 when market information becomes available, yet the investment is not traded in an active market and/or the investment is subject to transfer restrictions, or the valuation is adjusted to reflect illiquidity and/or non-transferability.

Investments in restricted securities of public companies cannot be offered for sale to the public until the Partnership complies with certain statutory requirements. The valuation of the securities by management takes into consideration the type and duration of the restriction, but in no event does the valuation exceed the listed price on a national securities exchange or the NASDAQ national market. Investments in restricted securities of public companies are generally included in level 2 of the fair value hierarchy.

Investments whose values are based on quoted market prices in active markets, and are therefore classified within level 1, generally include active listed equities. The General Partner does not adjust the quoted price for such instruments, even in situations where the Partnership holds a large position and a sale could reasonably impact the quoted price.

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All investments carried on the Statement of Assets, Liabilities and Partner's Capital are classified as level 3. Such investments total \$504,173,064 as of June 30, 2023.

During the period from inception (May 17, 2023) to June 30, 2023, purchases of Level 3 investments totaled \$504,173,064. The classification of an investment within level 3 is based upon the significance of the unobservable inputs to the overall fair value measurement.

Transfers into and out of Level 3 are recorded at the value of the assets at the beginning of the year. During the period from inception (May 17, 2023) to June 30, 2023, the Partnership did not have any transfers between any levels of the fair value hierarchy. Because of the inherent uncertainty of valuation of these level 3 investments, those estimated values may differ significantly from values that would have been used had a ready market for the investments existed. Such differences could be material.

Concentration of Risk

As the Partnership's investments are primarily in the domestic independent oil and gas sector, revenue and profitability are dependent upon numerous factors beyond the Partnership's control, such as economic and political developments in the industry and competition from other sources of energy. The energy markets have historically been very volatile and there can be no assurance that oil and gas prices will not be subject to wide fluctuations in the future. A substantial or extended decline in oil and gas prices could have a material adverse effect on the Partnership's financial position, results of operations and cash flows.

The Partnership's investment program requires a moderate amount of diversification among its portfolio companies. Under the Partnership Agreement, the Partnership may not invest more than 25% of total commitments in any one portfolio company without consent of at least 66 2/3% of the Limited Partners. This policy may subject the Partnership to greater volatility than would usually be present in a more diversified portfolio, inasmuch as poor performance with respect to any one investment by the Partnership may expose the Partnership to a greater degree of loss than would be the case with a more broadly diversified investment program.

Most of the total commitment will be invested in privately negotiated equity and equity-related investments. Generally, there is no readily available market for such investments and, as such, the Partnership might take longer to liquidate these positions than would be the case for investments in publicly traded securities. Although these securities may be resold in privately negotiated transactions, the prices on these sales could be less than those originally paid by the Partnership. Also, issuers whose securities are not publicly traded may not be subject to public disclosure and other investor protection requirements applicable to publicly traded securities. In addition, the issuers of such privately negotiated securities are companies which typically have limited capitalization and limited operating histories, companies operating at a loss or with significant variations in operating results from period to period, companies which may need substantial additional capital to support operations and growth, and companies which may be highly leveraged. By their nature, such investments possess a high degree of business and financial risk that may result in substantial losses.

The General Partner may elect to hold multiple closings in order to admit additional Limited Partners to the Partnership following the initial closing or to accept increased commitments from existing Limited Partners, in each case on substantially the same terms as the initial Limited Partners' commitments were accepted, for eighteen months following the initial closing. The value of the Partnership's investments during this eighteen month period may fluctuate, including by significantly increasing in value. Regardless of any increase in value of the Partnership's investments, Limited Partners admitted to the Partnership in subsequent closings will be required to contribute to the Partnership an amount equal to the amount such Limited Partner would have contributed to make investments and pay expenses (including the management fee) if such Limited Partner's commitment had been made on the initial closing, plus, in certain cases, an interest component. As a result, Limited Partners who acquired interests prior to the admission of later admitted Limited Partners may be diluted in respect of any appreciation of the Partnership's investments

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during the period prior to the later admitted Limited Partners' admission to the extent that the appreciation during such period is greater than such interest component. Although any such new Limited Partner will be required to contribute its pro rata share of previously made capital contributions, there can be no assurance that this contribution will reflect the fair value of the Partnership's existing investments at the time of such contributions.

Refer to the EnCap Energy Capital Fund XII private placement memorandum for risks and consideration related to the Partnership.

Cash and Cash Equivalents

Cash and cash equivalents consist of demand deposits and cash held in Fidelity Investments Money Market Funds Treasury Portfolio – Class I (“Fidelity money market account”), a money market fund which contains investments with weighted average maturities of three months or less. As of June 30, 2023, the Partnership has cash in its Fidelity money market account of \$18,317,182. The Partnership places its cash and cash equivalents with financial institutions, and, at times, cash held in bank accounts may exceed the Federal Deposit Insurance Corporation insured limit. Cash and cash equivalents are classified as Level 1 assets and are carried at cost or amortized cost which approximates fair value.

Income and Expenses

Income and expenses from the Partnership's general operations are recognized on the accrual basis.

Organization Costs

Organization costs incurred during the development stage of the Partnership were expensed as incurred. During the period from inception (May 17, 2023) to June 30, 2023, the Partnership incurred and expensed organization costs of \$264,178.

Investment Transactions and Related Investment Income

Investment transactions are accounted for on a trade-date basis. Dividend income is recorded on the record date with the exception of dividend income from marketable securities which is recorded on the ex-dividend date.

Gains or Losses on Investments

Realized gains and losses on investments represent the difference between the original cost of the investments and the related market price at the sale or distribution date, net of expenses, as well as write-offs. The difference between the original cost and the estimated fair value of investments, including any receivable for holdbacks, owned at the end of the period represents unrealized gains or losses.

Income Taxes

No provision for federal income taxes is included in the accompanying financial statements. As the Partnership is not subject to income taxation, the tax effects of its activities accrue to the individual partners.

The Partnership's tax returns are subject to examination by federal and state taxing authorities. As of June 30, 2023, the earliest tax year that remains subject to examination under the standard limitation period is 2023. Pursuant to the Bipartisan Budget Act of 2015, for tax years beginning after December 31, 2017, if the IRS makes audit adjustments to the Partnership's income tax returns, it (and some states) may assess and collect any taxes (including any applicable penalties and interest) resulting from such audit adjustments directly from the Partnership. To the extent possible under the new rules, the Partnership's general partner may elect to either pay the taxes (including any applicable penalties and interest) directly to the IRS or, if

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eligible, issue a revised information statement to each current limited partner and former limited partner with respect to an audited and adjusted return. Although the Partnership's general partner may elect to have the limited partners take such audit adjustment into account and pay any resulting taxes (including applicable penalties or interest) in accordance with their interests in the Partnership during the tax year under audit, there can be no assurance that such election will be practical, permissible or effective in all circumstances. As a result, current limited partners may bear some or all of the tax liability resulting from such audit adjustment, even if such limited partners did not own an interest in the Partnership during the tax year under audit. If, as a result of any such audit adjustment, the Partnership is required to make payments of taxes, penalties and interest, the cash available for distribution to our limited partners might be substantially reduced. These rules are not applicable for tax years beginning on or prior to December 31, 2017.

In accordance with a provision of the FASB guidance "Income Taxes", the General Partner is required to determine whether a tax position of the Partnership is more likely than not to be sustained upon examination by the applicable taxing authority, including resolution of any related appeals or litigation processes, based on the technical merits of the position. The tax benefit to be recognized is measured as the largest amount of benefit that is greater than fifty percent likely of being realized upon ultimate settlement which could result in the Partnership recording a tax liability that would reduce partners' capital. Based on the General Partner's analysis, there are no material disclosures or adjustments impacting the Partnership's financial statements as of June 30, 2023. The Partnership does not expect that its assessment regarding unrecognized tax benefits will materially change over the next twelve months. However, the General Partner's conclusions may be subject to review and adjustment at a later date based on on-going analyses of tax laws, regulations and interpretations thereof and other factors.

NOTE 3 – INVESTMENT TRANSACTIONS:

The Partnership made equity investments in certain private entities that are primarily engaged in the acquisition, development and operation of oil and gas properties. Generally, the related limited liability company and partnership agreements provide for a specified percentage sharing of revenues and expenses until the Partnership has achieved a specified internal rate of return and return on investment. After this level of return has been achieved, the percentage-sharing ratio is adjusted to provide for an increased allocation to the management group of the investee and a decreased allocation to the Partnership.

Total contributions to and proceeds from investments during the period from inception (May 17, 2023) to June 30, 2023 are as follows:

	<u>Contributions</u>	<u>Proceeds</u>
Private equity investment holdings:		
EnCap DE IV Co-Invest, LLC	\$ 283,806,973	\$ —
EnCap GM III Co-Invest, LLC	220,366,091	—
	<u>\$ 504,173,064</u>	<u>\$ —</u>

Contributions during the period from inception (May 17, 2023) to June 30, 2023 to EnCap DE IV Co-Invest, LLC, included \$11,001,020 of interest paid to an affiliate. See further discussion in Note 5.

Contributions during the period from inception (May 17, 2023) to June 30, 2023 to EnCap GM III Co-Invest, LLC, included \$247,747 of interest paid to affiliates. See further discussion in Note 5.

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NOTE 4 – ALLOCATIONS TO PARTNERS:

Net proceeds of the Fund's investments will be apportioned among the Fund's partners in the proportion a partner's commitment bears to the aggregate commitments to the Fund. The amount apportioned to the Related Limited Partners will be distributed to the Related Limited Partners and the amount apportioned to each Limited Partner will be distributed as a return of all investment costs, fees, and expenses until such time as the Limited Partners receive an 8% per annum compounded annually internal rate of return on their investment ("Preferred Return Payout"). After Preferred Return Payout is achieved, the General Partner is allocated 80% of the Limited Partner distributions and the Limited Partners are allocated the remaining 20% in proportion to their respective ownership percentages until such time the General Partner has been distributed 20% of total Limited Partner net distributions from the Partnership ("Catch-Up Payout"). After Catch-Up Payout is achieved, the Limited Partners are distributed net cash distributions equal to 80% of their original respective ownership interests and the remaining 20% distributed to the General Partner. Upon liquidation of the Partnership, the General Partner will be required to restore funds to the Partnership to the extent that the General Partner has received cumulative carried interest distributions in excess of amounts that would have been distributed to it pursuant to the formula set forth above applied on an aggregate basis covering all transactions of the Partnership, net of income taxes thereon. Funds returned to the Partnership for this purpose will be distributed to the Limited Partners in proportion to their aggregate funded commitments.

Net increase (decrease) in partners' capital resulting from operations was allocated between the General Partner, Related Limited Partners and Limited Partners in accordance with the allocation methodology described above. During the period from inception (May 17, 2023) to June 30, 2023, net decrease in partners' capital resulting from operations allocated to the Related Limited Partners and Limited Partners was \$13,455 and \$900,618, respectively.

NOTE 5 – TRANSACTIONS WITH RELATED PARTIES:

The General Partner initially receives an annual management fee equal to the Management Fee Rate, as defined in the Partnership Agreement, of Limited Partner commitments or of the Partnership's cash investment in remaining portfolio investments reduced by amounts distributed to the extent such amounts constitute a return of capital and any permanent write-down or writeoff, as determined by the General Partner, payable in advance at the beginning of each quarter. The initial management fee period expires upon the earlier of (a) five years from the final closing date, (b) the date the fund is fully invested, (c) the date a subsequent fund organized by the General Partner makes its first investment or (d) the occurrence of certain other events as specified in the Partnership Agreement. After such time, the annual management fee is equal to the Management Fee Rate of the Partnership's cash investment in remaining portfolio investments reduced by amounts distributed to the extent such amounts constitute a return of capital and any permanent write-down or writeoff, as determined by the General Partner. The management fee paid by the Partnership is reduced in the subsequent quarter by 100% of any transaction fees received by the General Partner. The management fee constitutes full reimbursement by the Partnership to the General Partner for the General Partner's administrative expenses, including, but not limited to, salaries and wages of officers and employees of the General Partner, office rent, utilities and other general, administrative and overhead expenses. During the period from inception (May 17, 2023) to June 30, 2023, the Partnership paid management fees of \$639,622 to the General Partner.

During the six months ended June 30, 2023, the Partnership reimbursed EnCap Investments L.P. ("EnCap"), an affiliate of the Partnership, \$271,998 for general and administrative expenses. At June 30, 2023, the Partnership owed \$0 to EnCap for general and administrative expenses. At June 30, 2023, the Partnership owed \$264,178 to EnCap for organization costs.

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During June 2023, the Partnership funded its initial investment in EnCap DE IV Co-Invest, LLC, through an assignment of membership interest agreement with EnCap Energy Capital Fund XI, L.P. ("Fund XI"), an affiliate of the Partnership. The assignment agreement was approved by the Partnership's Advisory Board. In accordance with the assignment agreement dated June 8, 2023, the Partnership paid \$11,001,020 to Fund XI for accrued interest for the period of the initial investments by Fund XI to the date of the assignment agreement (June 8, 2023).

During June 2023, the Partnership funded its initial investment in EnCap GM III Co-Invest, LLC, through an assignment of membership interest agreement with Fund XI and EnCap Energy Capital Fund X, L.P. ("Fund X"), an affiliate of the Partnership. The assignment agreement was approved by the Partnership's Advisory Board. In accordance with the assignment agreement dated June 9, 2023, the Partnership paid \$247,747 to Fund XI and Fund X for accrued interest for the period of the initial investments by Fund XI and Fund X to the date of the assignment agreement (June 9, 2023).

Managing Directors of the General Partner may serve on the Board of Directors of the Partnership's underlying portfolio companies.

Pursuant to the Partnership Agreement, the Partnership has agreed to indemnify the General Partner and its affiliates against certain losses and other liabilities to which they may become subject in connection with matters arising out of or in connection with the Partnership's business and affairs. The Partnership believes that it is unlikely that it will have to make material payments under these arrangements, and no liabilities related to these indemnifications have been recognized on the accompanying Statement of Assets, Liabilities and Partners' Capital.

NOTE 6 – COMMITMENTS AND CONTINGENCIES:

The Partnership's investments are subject to legal proceedings, claims, and litigation arising in the ordinary course of business. Each investee defends itself vigorously against any such claims. Although the outcome of these matters is currently not determinable, the General Partner does not expect that the ultimate costs to resolve these matters will have a material adverse effect on its financial position, results of operations, or cash flows.